

CAPITAL MARKETS

JPMorgan's \$205M Blackstone Refi: A Bet on Basis, Not on Hotels

The loan reveals bank capital is available for recently repriced assets with top sponsors, not a broad reopening of hotel debt.

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A source-grounded Light Tower Insight.

JPMorgan Chase lending Blackstone \$205 million to refinance the East Miami hotel looks like a vote of confidence in hospitality debt. The more revealing fact is that Blackstone bought the asset for roughly \$300 million just last year. That purchase price gives the lender a known, defensible basis. The loan-to-value ratio against that price sits near 68 percent. This is not a bet on hotel recovery broadly. It is a bet on a specific sponsor, a specific basis, and a specific moment in the rate cycle.

Blackstone acquired the 39-story, 352-key East Miami hotel in Brickell from Trinity Investments and Certares Real Estate Management in 2025. The property sits within the 5-million-square-foot Brickell City Centre mixed-use complex and includes 89 serviced apartments, a 20,000-square-foot pool deck, and the Sugar rooftop bar. The hotel opened in 2016, and this appears to be the first loan Blackstone has placed on the asset. JPMorgan provided the \$205 million refinancing, following a \$115 million loan the bank extended to Blackstone in June for the W Fort Lauderdale, which the firm bought for \$153 million in 2024.

The transaction matters because it reveals the conditions under which bank capital is available for hotels. JPMorgan is not lending into an uncertain valuation. It is lending into a basis that was set by a competitive sale process less than 18 months ago. That purchase price gives the lender a known entry point, a recent underwriting, and a sponsor with the balance sheet to absorb any short-term volatility in RevPAR. The loan is less a vote of confidence in Miami hotel demand broadly than a vote of confidence in this asset, this sponsor, and this basis.

Consider the alternative. A lender underwriting a hotel that was last traded in 2019 or 2020 faces a valuation gap that is hard to close. The seller wants a price based on pre-pandemic cash flows. The buyer wants a discount for uncertainty. The lender is caught between two numbers that do not converge. Blackstone's 2025 purchase price eliminates that problem. JPMorgan knows exactly what the asset is worth because the market already told them.

The timing also matters. The loan arrives after a period in which the Federal Reserve held

rates higher for longer than many borrowers anticipated. Hotel owners with floating-rate debt from 2021 and 2022 are facing payment shocks. The ones who bought at the top of the cycle are running out of time. Blackstone bought in 2025, after the initial repricing had occurred. The firm did not need to refinance a loan that was underwater. It needed to replace equity or short-term bridge debt with permanent financing at a known basis. That is a fundamentally different risk profile than a sponsor trying to refinance a 2021 acquisition at a 2026 valuation.

JPMorgan's willingness to lend also reflects the bank's relationship with Blackstone. This is the second hotel refinancing between the two firms in as many months. Relationship lending is not new, but it becomes more important when the syndicated loan market is selective and the CMBS market is pricing for uncertainty. A bank that knows the sponsor's track record, portfolio strategy, and liquidity position can underwrite faster and with more confidence than a lender meeting the sponsor for the first time. That advantage is real, and it is not available to every hotel owner.

The broader pattern is worth watching. Bank lending for hotels is not closed, but it is narrow. The loans that get done share common features: a recent transaction price, a top-tier sponsor, a property in a high-barrier market, and a debt structure that does not stretch for proceeds. The Diplomat Beach Resort refinancing in Hollywood, where Trinity Investments and UBS secured \$600 million from JPMorgan and Citi in April, fits the same mold. The asset is large, the market is strong, and the sponsors are institutional.

What the market should test next is whether this pattern holds for smaller hotels, secondary markets, or sponsors without Blackstone's balance sheet. The answer will determine whether the hotel lending recovery is real or limited to a narrow set of deals that were always going to get done. The East Miami refinancing is a signal, but it is a signal about the conditions that make a loan possible, not about the sector broadly.

The loan is not proof that hotel debt is back. It is proof that the right sponsor, the right basis, and the right relationship still clear. That distinction matters for every owner trying to refinance a hotel that has not traded since 2021.